

English common law provided a “rule against perpetuities.” A favorite question on bar exams and law school tests required students to figure out how long such a trust could last before it was stopped by the rule. The answer: the length of any life in being at the time the trust was begun, plus 21 years. States have generally modified the rule to make it more predictable. But a few states have eliminated the rule all together. This makes it possible for a trust to last, theoretically, forever.

What’s the advantage? A trust is owned by no one. At least, if it is set up properly. So you eliminate the inheritance tax issue. No property passes from the dead to the living.

It simply stays in the trust.

We’ve already seen how the miracle of compound interest works. Put money in a trust. Let it compound year after year. You end up with a lot of money. The Standard & Poor’s (S&P) 500 has returned (nominally) 9.6 percent a year over the past 50 years. Had you invested \$10 million a half-century ago, it could be worth \$975 million now. Before taxes, of course.

We’ve seen, too, how the miracle of compound interest works against you. The annual fees and charges on a mutual fund account of \$100,000 can be as much as \$2,500. Not a big deal in a single year, perhaps. But spread over a couple generations the fees compound, effectively transferring a large part of your fortune to the mutual fund company.

Same thing with taxes. It’s all very well to want to pay your “fair share,” but every 1 percent taken by the taxmen is magnified by time. On \$1 million, 1 percent per year, compounded over 70 years—that’s \$1 million!

U.S. citizens cannot avoid federal income and capital gains taxes by using trusts. It’s not that easy. But the avoidance of the inheritance taxes is a significant achievement. Put \$10 million in a dynasty trust today. At a 6 percent annual rate of return (without capital gains or income taxes), it will grow to about \$184 million in 50 years. But if the same money passes through two generations and is subject to a 55 percent inheritance tax, with a \$1 million exemption, it will be worth only about \$39 million at the end of the period.

Currently, there’s a \$5 million exemption. That is, an individual can put \$5 million into a dynasty trust without paying a gift or inheritance tax. A